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China Industrials | Asia Pacific

Automation Operations Tracker – Broad Demand Recovery Supports Strong Upcycle

Key Takeaways

- In April, most automation players saw solid order growth, including some global players, and Chinese leading players continued to lead the growth.
- Robust demand in broad downstream, such as machine tools, batteries, semis, 3C, logistics, shipbuilding and AI-related areas (e.g. PCB, liquid cooling).
- Demand + price hikes will likely support solid 2Q growth for automation names. We anticipate ~5% y-y growth in the 2026 automation market.

In April 2026, four global players – Yaskawa (6506.T, covered by Lisa Jiang), Panasonic (6752.T, Kazuo Yoshikawa), Delta Electronics (2308.TW, Sharon Shih), and ABB (ABBN.S, Max Yates) – reported combined China sales growth of +5% for servos and -5% for low-voltage AC drives, per Market Intelligence Resource (MIR), versus +3% and +10% in 3M26.

For automation players, Inovance's April new orders accelerated to >40% YoY, up from >30% YoY in March, supported by solid demand across most downstream segments. Management indicated smooth pass-through of recent price increases. Wuxi Xinje (603416.SS, NC) also reported ~40% YoY growth in April new orders. Tsugami China (1651.HK, NC) saw order volumes rise >110% YoY and remain flat MoM at 3,000+ units in April off a low base, supported by 3C and liquid cooling demand.

In general equipment, April orders for Haitian Int'l (1882.HK) grew by low single digits YoY, with domestic orders rising in the teens YoY while overseas orders declined in the teens YoY. Guomao (603915.SS) reported >10% YoY growth in new orders.

Exhibit 1: China – Automation and general equipment players' new orders

	Inovance	Xinje	Yiheda	Haitian Int'l	Guomao	Tsugami China
Jan-25	-	-30%	-	single-digit decline	-	-
Feb-25	10-20%	10%	30%	50%+	Flat	91%
Mar-25	30%+	20-25%	40%	single-digit decline	mild growth	48%
Apr-25	high single-digit growth	10%+	30%	high single-digit growth	mild decline	4%
May-25	high single-digit growth	10%+	10%+	mid-teens growth	mild decline	8%
Jun-25	15%	20%	10%+	low-teens growth	10%	0%
Jul-25	20%	20%+	10%+	low single-digit growth	mild growth	15%
Aug-25	20-30%	20%+	10%+	low single-digit decline	low single-digit growth	42%
Sep-25	30%+	20%+	20%+	low-teens growth	teens growth	33%
Oct-25	10%+	30%+	10%+	low-teens growth	single-digit growth	43%
Nov-25	20%+	20%+	10%+	flat	teens growth	60%
Dec-25	30%+	20%	20%+	teens growth	teens growth	41%
Jan-26	-	-	70%+	20%+	high single-digit growth	82%
Feb-26	40-50%	30%	30%+	low single-digit decline	10%	40%
Mar-26	30%	25-30%	-	single-digit decline	10%+	30%
Apr-26	40%+	40%+	-	low single-digit growth	10%+	110%+

Source: Company data, Morgan Stanley Research. Note: Feb-26 column is the data for Jan-Feb new orders in aggregate

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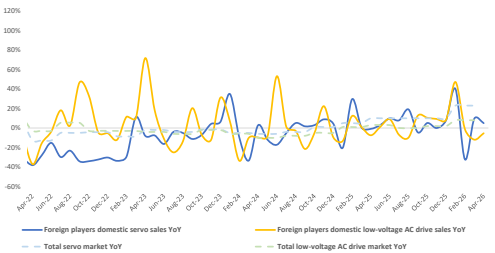
CHINA INDUSTRIALS

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Industry View

In-Line

Exhibit 2 : Global players' sales of servos and low-voltage AC drives in China in April-26



Source: MIR, Morgan Stanley Research. Note: Servo sales include Yaskawa, Panasonic, Delta; AC drive sales include ABB, Yaskawa. Sales data are monthly data for global brands; quarterly data (dotted line) are industry total sales.

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Total	3,673		909			1627	

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China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.91
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb122.06
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb18.24
iRay Technology Company Limited (688301.SS)	E (01/16/2025)	Rmb116.10
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb63.23
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb153.14
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb102.28
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$18.94
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb16.16
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.18
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.88
DR Laser (300776.SZ)	E (12/17/2021)	Rmb114.30
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb24.08
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$22.18

Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb32.43
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb17.65
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb113.41
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb45.98
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb262.99
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb20.53
Shenzhen Inovance Technology (300124.SZ)	O (05/19/2025)	Rmb75.00
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb93.89
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$38.42
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb269.51
Times Electric (3898.HK)	E (01/22/2026)	HK\$37.26
WeiChai Power (2338.HK)	O (03/30/2026)	HK\$41.40
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb33.06
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb88.61
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb54.75
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb56.90
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb32.88
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb42.45
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$7.93
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.78

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.